Condensed consolidated interim financial statements

Glenmarrow Hospitality Group plc · six months ended 30 June 2026 · unaudited

Financial highlights

Measure	H1 2026	Change on H1 2025
Revenue	£148.2m	+5.8% (H1 2025: £139.6m)
Operating profit	£18.6m	−12.0% (H1 2025: £21.2m)
Profit before tax	£12.2m	−23.9% (H1 2025: £16.0m)
Basic earnings per share	7.42p	−25.4% (H1 2025: 9.95p)
Free cash flow	−£7.4m	H1 2025: £2.7m
Net debt	£96.2m	31 December 2025: £88.7m

Free cash flow and net debt are alternative performance measures; they are defined and reconciled in the full interim report. Net debt excludes lease liabilities.

Condensed consolidated income statement (£000)

	Note	H1 2026	H1 2025
Revenue	3	148,236	139,604
Cost of sales		(97,415)	(90,118)
Gross profit		**50,821**	**49,486**
Administrative expenses		(31,904)	(29,377)
Other gains/(losses)	4	312	1,045
Operating profit		**18,605**	**21,154**
Finance income		486	211
Finance costs	5	(6,927)	(5,390)
Profit before tax		**12,164**	**15,975**
Income tax expense	6	(3,041)	(3,834)
Profit for the period		**9,123**	**12,141**
Attributable to owners of the parent		8,876	11,902
Attributable to non-controlling interests		247	239
Basic earnings per share (pence)	7	7.42	9.95
Diluted earnings per share (pence)	7	7.38	9.89

Condensed consolidated statement of comprehensive income (£000)

	H1 2026	H1 2025
Profit for the period	9,123	12,141
Exchange differences on translation of foreign operations	(1,286)	2,034
Cash flow hedges: fair value movements	(842)	615
Other comprehensive (expense)/income	(2,128)	2,649
Total comprehensive income for the period	**6,995**	**14,790**

All items of other comprehensive income may be reclassified subsequently to profit or loss.

Condensed consolidated balance sheet (£000)

	30 Jun 2026	31 Dec 2025
Non-current assets		
Property, plant and equipment	312,480	305,912
Right-of-use assets	46,215	48,903
Intangible assets	18,760	19,334
Deferred tax assets	2,145	1,987
Total non-current assets	**379,600**	**376,136**
Current assets		
Inventories	4,318	4,027
Trade and other receivables	15,902	13,486
Cash and cash equivalents	14,208	17,526
Total current assets	**34,428**	**35,039**
Total assets	**414,028**	**411,175**
Current liabilities		
Trade and other payables	(21,736)	(24,115)
Provisions	(3,120)	(2,874)
Current tax liabilities	(1,408)	(1,962)
Lease liabilities	(6,512)	(6,390)
Total current liabilities	**(32,776)**	**(35,341)**
Non-current liabilities		
Borrowings	(110,400)	(106,200)
Lease liabilities	(44,018)	(46,857)
Deferred tax liabilities	(9,326)	(9,018)
Total non-current liabilities	**(163,744)**	**(162,075)**
Net assets	**217,508**	**213,759**
Equity		
Share capital	12,400	12,400
Share premium	48,615	48,615
Hedging and translation reserves	3,182	5,310
Retained earnings	151,449	145,819
Equity attributable to owners of the parent	**215,646**	**212,144**
Non-controlling interests	1,862	1,615
Total equity	**217,508**	**213,759**

Condensed consolidated cash flow statement (£000)

	H1 2026	H1 2025
Cash generated from operations	27,914	31,206
Income tax paid	(3,595)	(3,402)
Net cash from operating activities	**24,319**	**27,804**
Purchase of property, plant and equipment	(18,906)	(15,271)
Purchase of intangible assets	(1,148)	(962)
Interest received	486	211
Net cash used in investing activities	**(19,568)**	**(16,022)**
Drawdown of borrowings	4,200	–
Interest paid	(5,804)	(4,517)
Repayment of lease liabilities	(3,640)	(3,388)
Dividends paid	(2,825)	(2,480)
Net cash used in financing activities	**(8,069)**	**(10,385)**
Net (decrease)/increase in cash and cash equivalents	**(3,318)**	**1,397**
Cash and cash equivalents at 1 January	17,526	15,140
Cash and cash equivalents at 30 June	**14,208**	**16,537**

Notes

1. Basis of preparation. These condensed consolidated interim financial statements have been prepared in accordance with IAS 34 Interim Financial Reporting. They do not include all the information required for full annual financial statements and should be read together with the Group’s annual report for the year ended 31 December 2025, whose comparative figures are taken from the audited financial statements.

2. Going concern. The Group’s principal borrowing facility is a revolving credit facility of GBP 40.0 million, of which 24.6 million was drawn at 30 June 2026, together with a term loan of £85.8 million maturing in March 2029. The facilities include a covenant that net debt must not exceed 3.0 times EBITDA, tested every six months. Having considered cash flow forecasts to 31 December 2027, including a severe but plausible downside scenario with revenue 15% below plan, the directors expect the Group to have adequate resources to continue in operation, and the statements have been prepared on a going concern basis.

3. Segment information. The Group has three operating segments, reported to the board on the same basis as in the annual report.

Revenue by segment (£000)	H1 2026	H1 2025
Hotels, United Kingdom	96,412	92,118
Hotels, Ireland	31,580	28,976
Venues and events	20,244	18,510
Total revenue	**148,236**	**139,604**

4. Other gains/(losses) comprise a loss of £1,104,000 on the disposal of the Cobble Wynd hotel and a foreign exchange gain of £792,000 on intra-group balances.

5–7. Finance costs include interest on lease liabilities of £1,123,000 (H1 2025: £1,175,000). The effective tax rate for the period is 25.0% (H1 2025: 24.0%). Earnings per share are based on 119.6 million weighted average shares in issue (H1 2025: 119.6 million).